

Board of Directors Package

Wholesum Foods Distribution, Inc. — Q4 2022

Board Meeting: February 9, 2023 | Confidential — Board Use Only

Date	February 9, 2023
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, S. Chen (Atlas Crossing); C. Gonzales (Exec. Chairman); R. Whitfield, L. Park (Independent)
Management	R. Gonzales (CFO); P. Vega (President & COO); M. Torres (SVP Operations)
Observers	D. Okafor (Atlas Crossing — Principal)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and quarterly highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook and key actions
9. Other business / adjourn

Executive Summary

Wholesum closed FY2022 with Q4 revenue of \$171.0M and EBITDA of \$18.9M (11.1% margin), both beating budget. Combined H2 2022 (first two post-close quarters): revenue \$334.0M, EBITDA \$36.3M. The Crescent Bay Foods definitive agreement was signed November 28 and is expected to close in

February 2023. ERP Phase 1 was completed across all 12 DCs on December 19, three days ahead of schedule.

Financial Performance

Metric	Q4 2022 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$171.0M	\$167.0M	+2.4%	—	—
Gross Profit	\$31.6M	—	—	—	—
Gross Margin %	18.5%	—	—	—	—
EBITDA	\$18.9M	\$18.0M	+5.0%	—	—
EBITDA Margin %	11.1%	—	—	—	—
D&A	(\$3.5M)	—	—	—	—
EBIT	\$15.4M	—	—	—	—
Interest Expense	(\$8.0M)	—	—	—	—
Net Leverage	5.8x	—	—	Entry: 6.0x	—
LTM EBITDA	\$71.7M	—	—	Entry: \$72.4M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Progress
Total Customers	3,580	3,500	+80 incremental
Distribution Centers	12	12 DCs	+0 DCs from bolt-ons
Private Label % of Rev.	8.5%	8.0%	Target: 18% by exit
Revenue per Customer	\$47.8K	—	—
EBITDA per DC	\$1.57M	—	—
Net Leverage	5.8x	6.0x	Covenant: ≤7.5x

Strategic Initiatives

Initiative	Status	Detail
ERP / NetSuite rollout	Completed (Phase 1)	All 12 DCs live Dec 19; Phase 2 (WMS) begins Q1 2023
Private label expansion	On track	First 24 SKUs approved; production begins Q1 2023
Procurement re-bid	Completed	Awards executed; \$2.1M annualized savings from Feb 1
Crescent Bay acquisition	DA signed Nov 28	HSR filed Dec 2; close expected Feb 2023

Key Risks & Mitigation

Risk	Severity	Mitigation
Crescent Bay HSR risk	Low	No product/geography overlap; 30-day review expected
Input cost inflation	Medium	Commodity surcharge program covers 82% of revenue
Private label launch	Low	Co-packer agreements signed; test-market Q2 2023

Next Quarter Outlook

Crescent Bay close expected February 2023, adding ~\$36M annualized revenue and 2 DCs. FY2023 plan: \$765M revenue, \$87M EBITDA. Private label first SKUs to shelf Q2 2023.

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